Peter Ord, CEO of GuideCX

We're big fans of solo entrepreneurs. Peter validated his business with real paying customers before he raised money; always the best strategy.

Sramana Mitra: Let's start at the very beginning of your journey. Where are you from? Where were you born, raised, and in what kind of background?

Peter Ord: I grew up in San Diego, California. I'm one of five boys. My father was a homebuilder and my mother was a teacher. Our summer jobs involved framing homes for my father. Oddly enough, that's where some of the ideas came for GuideCX. There is a certain order to an operation that needed to occur that I grew up seeing over and over again.

Sramana Mitra: What kind of an educational path did you follow that led you up to GuideCX?

Peter Ord: I went to college at Brigham Young University. I was majoring in construction management. Being exposed to scheduling software and understanding the importance of holding contractors accountable to timelines was part of the impetus that led to the creation of GuideCX. It took longer than I had expected because I had graduated from college in 2007 when there was a housing crisis. The markets weren't too great. Every single company I interned with didn't exist when I graduated.

I decided to work for another software company called DealerSocket. This company built CRM applications for car dealerships. I went to work there because they also aspired to build a CRM application for homebuilders. I felt like this will be applicable. The catch was they were going to grow the car dealership vertical first. The car dealership vertical exploded. The company never got around to building its product for homebuilding.

I remember coming into that company and thinking, "We're working with car dealerships. They're low-tech individuals." Our product wasn't such that you can just turn it on and have them use it. We had a checklist of about 120 items we had to take them through. There are a variety of responsibilities in that checklist that comprised of what their manufacturer needed to do and what they needed to do. We managed that process internally. We didn't have any scheduling tools.

I remember going to the COO and saying, "We should use this scheduling tool for our software business because it can manage our dependencies in the generic project management software we were using." We never ended up doing that. I was with that company for 14 years. Half of my time there was on the account services side implementing the product and traveling around the country.

That latter half of my time was on the sales side. When I jumped to the sales side, the company grew and we started attracting enterprise-level deals. Those implementations got exponentially more complex as there were more locations that we needed to track. I was that sales guy that knew exactly what the product should do.

One common theme happening was that our churn was in direct correlation to how they were implemented. We were winning the renewal of our product in the first 30 days. The first 30 days indicated the long-term trajectory of the partnership. Private equity acquired us and we then bought four other companies in the automotive software space. Now, our implementation got that much more complex.

Sramana Mitra: This is not GuideCX, right?

Peter Ord: This is before GuideCX. They say the greatest companies in the world are built off of founders' greatest frustrations. The frustration that spawned GuideCX was born at DealerSocket.

Sramana Mitra: You said you joined the company where they were going to do homebuilder, but then the company imploded. Did you talk about one or two companies?

Peter Ord: One company. The company I joined had a product that catered to automotive dealers. They also aspired to build a similar product for homebuilders.

Sramana Mitra: That automotive product did work. In that implementation, you learned that the implementation was cumbersome and complex. Is that what you're saying?

Peter Ord: Right. The only reason I shared the homebuilding aspect was that's what led me there. The car dealership product took off and we never got around to building the homebuilding product, which was a blessing and a curse.

Sramana Mitra: What was the name of that company?

Peter Ord: DealerSocket.

Sramana Mitra: What are the years we are talking about?

Peter Ord: 2007 to 2017.

Sramana Mitra: A long time.

Peter Ord: I was the 20th employee and I left when there were close to 3,000 employees.

Sramana Mitra: That was all happening in Utah?

Peter Ord: This was based in San Clemente, California. They had moved me to Utah because we out recruited our area in California. They moved me and my family to Utah where we hired 700 people in the span of three years. I, then, decided in 2017 that this challenge of our implementation not being transparent was worth jumping off the cliff and starting my own company.

Sramana Mitra: Double-click down on that issue. What wasn't working?

Peter Ord: There are three questions that our customers at DealerSocket would always ask whenever they bought our product. They were pretty consistent. I managed the sales team at the time I left. That was over 200 people. My salespeople, when they sold the product, would always be asked, "When am I going to get the product I bought? Who has the ball? Who needs to do what?"

The other question is pretty interesting – What did I even purchase? We noticed that the contract signers often remove themselves from the implementation experience. Oftentimes, you'd get on the welcome call and the contract signer wouldn't be present. Our project manager would then be put in a situation where they have to resell the product to the customer side team that never participated in the sales process.

Those questions were pivotal to us solving in order to have a successful partnership. I looked at a lot of B2C processes. For example, Amazon. I don't call Jeff Bezos to ask where my package is. He gives me a portal where I can see where my package is. You look at Domino's pizza tracker. They tell me it's 15 minutes from being out of the oven.

There are all sorts of processes that happen in the B2C realm where consumers are kept up to date. Seldom do we give a credit card before we know when we're going to get the good or service that we purchased. When you jump to the B2B realm, we're oftentimes at the mercy of a project manager sending us a spreadsheet or updating via email.

While in my last company, all 40 project managers followed the same internal process. Externally, they offered 40 different customer experiences. I started with the goal of answering those three questions. Can I find a product that can tell me where I'm at, when I'm going to get it, and what I bought? I couldn't find that in the space. Then I evaluated that if I can find this product, then I can standardize the external experience. If the external experience is measurable, then I can optimize it.

I went on that search to help DealerSocket find that product. I didn't find it. I had a long conversation with my wife on whether we really wanted to start our own company. I got to the point where I decided that it was worth it. I quit my job at DealerSocket after 10 or 11 years. I started GuideCX in December of 2017.

Sramana Mitra: Who was going to build the product? You are not a technical person, right?

Peter Ord: I sent my resignation to my boss when I was on vacation. Part of the reason was, I had gotten a number of calls from car dealers who were upset with the implementation during my vacation. It was the straw that broke the camel's back. My wife was still frustrated that I went downstairs, got white paper from the business office, and I just stayed upstairs in the hotel room the whole day just mocking out what the system should look like.

I came back with all those mockups. I hired a designer. We sat together and I paid him hourly. He got a working model. It was something that could enable me to go out and demo the product. I identified 76 companies on LinkedIn. I searched implementation managers and I only called second-level contacts.

Sramana Mitra: Implementation managers of what kind of products?

Peter Ord: I was targeting SaaS companies. I asked all those companies the same 16 questions about how they deliver. If I got interest, I showed them the mockup and asked if they wanted to sign up for my pilot program. The pilot program would be ready by March 9, 2018. I set a date. I got 14 out of the 76 to commit.

When I knew there was enough need, I greenlighted it. I was bootstrapping at that time. She and I worked together. One of my mentors was the former CTO of DealerSocket. I ended up finding some individuals who can help me build the product.

Sramana Mitra: In Utah?

Peter Ord: Yes. I was willing to spend 5 to 10x more to develop the product here in Utah because that guaranteed me being close to it. I had a really good experience with the designer I was working with. I wanted to replicate that to the development effort. I got a product off the ground on March 9th. I was the first client of a new dev shop. Their office became my office.

I was a single employee all the way to July 2018. The pilot agreement said that they can use my product for free, but I will tell you how much it'll cost on June 1st. You have 30 days to decide whether you want to stay with me or go in another direction. Nine customers ended up signing on.

Sramana Mitra: How much did you charge?

Peter Ord: Our average ACV is $1,500 ARR. Today, that average is $18,000. I was elated that someone would pay me anything back then.

Sramana Mitra: As long as someone's paying something, that means you have a business.

Peter Ord: Right. I read three books throughout that process. One was The Mom Test. The premise of that was all about not asking feedback from people that are like or close to you as your mom. That's why I searched for second-level contacts. I wanted customers who didn't know me. The second book was The User Method. Don't rely 100% on feedback. Use your intuition. Then the third book is Lean Startup. If you're not embarrassed by your MVP, you've launched too late. Those books help me until today. I hired my first employee in July 2018.

Sramana Mitra: What was the skillset of that employee that you brought in?

Peter Ord: He was a fellow sales leader. I was supporting the product.

Sramana Mitra: The agency that you were working with was maintaining the product.

Peter Ord: Right. We were selling and getting more customers. Todd, who was that first employee, came to me and said, “I don’t have the time to support this. I can’t handle these calls. We need to find an operations person.” That’s when I hired my third employee in December of 2018. He’s won CEO of the Year from Silicon Slopes in Utah.

Sramana Mitra: In December 2018, what revenue level did you reach?

Peter Ord: $400,000 of ARR. That’s around the time I accepted the first round of funding from friends and family.

Sramana Mitra: How much did you raise?

Peter Ord: $1 million.

Sramana Mitra: What happens in 2019?

Peter Ord: We grew from three to 20 employees.

Sramana Mitra: All in Utah?

Peter Ord: Yes. We raised a seed funding round from a VC in July of 2019 for $2 million.

Sramana Mitra: So $3 million is the total capital in at this point.

Peter Ord: That’s right.

Sramana Mitra: In the 20 people, what did you bring in? Did you bring in the technical piece at this point?

Peter Ord: We did. I knew that if I was ever was going to raise a professional round of funding, I needed that domain knowledge. We still currently use that dev shop, but that only represents 10% of the total output of work. I hired a Director of Engineering who is now my CTO. That was in March 2019. At the end of 2019, we had five engineers.

Sramana Mitra: What kind of revenue level did you reach in 2019?

Peter Ord: We went up to $1.5 million. We raised our seed round in July 2019. That helped us push the needle. We were creating a category. The main products we were replacing were generic project management tools.

There was no one in the market that had our value proposition, which was a blessing and a curse. It meant that we had to educate the market. We had to convince project managers that if you’re more transparent with your workflows, you’ll reduce the anxiety levels and increase the trust level. Every sale from 2018 to the end of 2019 was very educational.

Then in 2020, G2 recognized our category. We’re still in the project management category, but they created a new category called client onboarding software. That was a big inflection point. It meant that we had competitors. From the end of 2019 to the beginning of 2020, we had two or three competitors that were starting to advertise the same services as us, but we’re not seeing them in the market. Just their presence meant that a category could be created.

Sramana Mitra: Was it mostly direct selling through LinkedIn?

Peter Ord: We were 100% outbound all the way to our Series A. Our Series A was raised in October 2020. We sourced three lists that we believe represent ideal customer profiles. The first list was companies that have recently raised. The second was competitors of our current competitors. The third list was people whose job roles have changed in LinkedIn that had implementation manager in their title. Those three lists are our outbound effort. We got all the way to $2 million ARR just by pure outbound approach.

Sramana Mitra: How much did you raise in Series A?

Peter Ord: $10 million. That’s when we started getting serious about inbound. We found Belle. If we had found Belle a lot earlier, we would have been a lot more successful. We didn’t have a true infrastructure. We had a Squarespace website all the way to the start of 2019. We weren’t serious about our website. Our website was designed to pick up a conversation that starts a conversation. It worked for our model.

Sramana Mitra: My take is whatever works is fine. Just figure it out.

Peter Ord: We continue to grow outbound. Today, 60% of our revenues is driven from inbound.

Sramana Mitra: In terms of inbound, what strategies are producing?

Peter Ord: It’s so early in our trajectory. We run LinkedIn and FB campaigns. When we started to do paid search, we started getting people interested in HR software because of onboarding. We were also investing in a professional website that sparks conversation. You really can’t hack the process. It takes a disciplined approach where you’re very consistent to grow that organic traffic.

Another thing that we had going for us is that if we improve the catcher’s mitt, the viral effect of our product would catch. We offer that Amazon tracking experience for B2B. Our customers put our product in front of their customers.

Sramana Mitra: So there are leads that come in through that.

Peter Ord: Exactly. We have about 25% of our revenue come in from that viral effect.

Sramana Mitra: When did you cross the $5 million ARR mark?

Peter Ord: We just did.

Sramana Mitra: Congratulations! $13 million is the full amount of funding?

Peter Ord: We just raised Series B for $25 million. We raised a bridge round right before COVID for an additional $2 million. That was another blessing. It enabled us to keep our minds on the gas pedal. They had wanted to put more money in the seed round. Money clouds judgment at the early stages.

They wanted to put $4 million in. I said that I'll take another $2 million if we hit a benchmark. We did. We took that seed plus round in February 2020. One of the things we did was I went to our sales team and said that it's going to be a hard environment to prospect in. Those that continue to prospect will excel.

Sramana Mitra: It actually turned out to be not true. People were very apprehensive and scared. I've done story after story of people being able to keep going without much of a problem.

Peter Ord: It's made our product more relevant. We didn't know this at that time. I told the sales team that I'll double their commissions in 2020. It ended up being an accelerator for us. Our differentiator was we enable better engagement with our customer's customers.

Sramana Mitra: Wonderful story. Thank you for your time.